Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

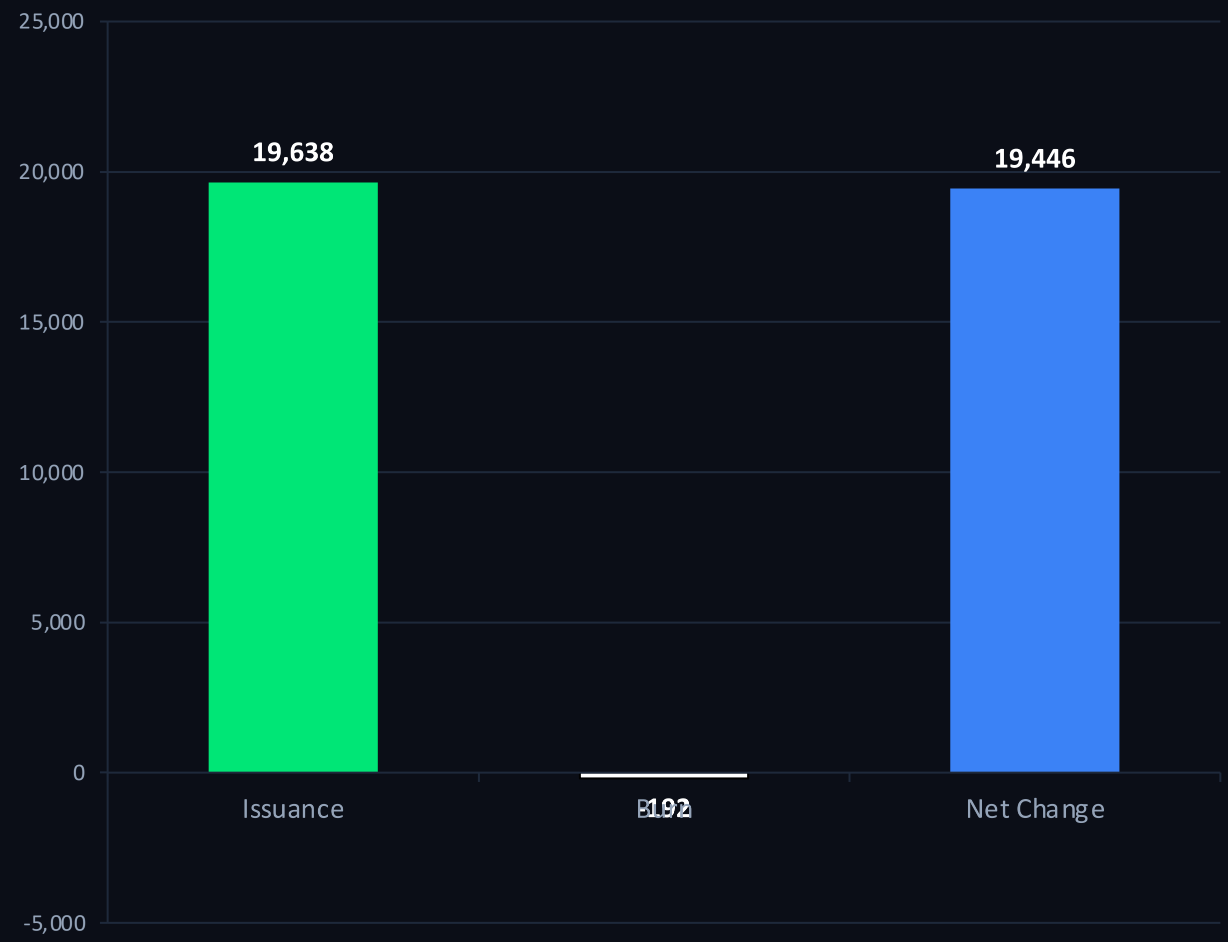
A data-driven analysis of ETH's deflationary mechanics, burn/issuance dynamics, and long-term supply projections for the ultra sound money thesis.

Current Supply	ETH Price	Base Gas	Annualized Growth
121,603,980 ETH	**$2,243 USD**	**0.1 Gwei**	**+0.83%/year**

For crypto-native investors and Ethereum ecosystem participants

7-Day Supply Change Snapshot

ETH supply growing at +0.83%/year — burns offset only ~1% of issuance



Total Supply

121,603,980 ETH

7d Issuance

+19,638.29 ETH

7d Burn

−192.39 ETH

7d Net Change

+19,445.89 ETH

Offset Ratio

0.01x

Source: ultrasound.money

Gas Market & EIP-1559 Burn Mechanics

Base gas at historic lows — 0.1 Gwei average suppresses fee burn

7-Day Gas Market (Gwei)

Minimum	**0.0 Gwei**
Average	**0.1 Gwei**
Maximum	**1.3 Gwei**
Equilibrium Target	**22.0 Gwei**

Blob Gas (EIP-4844 / L2 Data Availability)

- Average blob gas: 7,144,934 wei
- Total blob fee burn (7d): 0.15 ETH ($319)
- L2 burn contribution: effectively 0 ETH

EIP-1559 Mechanism

Every transaction burns a base fee. When total burn > issuance, ETH supply deflates. Current 0.1 Gwei base fee is far below the 22 Gwei needed for equilibrium.

Low Gas = Low Burn

At 0.1 Gwei, burn offsets only 1% of issuance (0.01x ratio). The network needs ~220x more gas activity to reach deflationary territory.

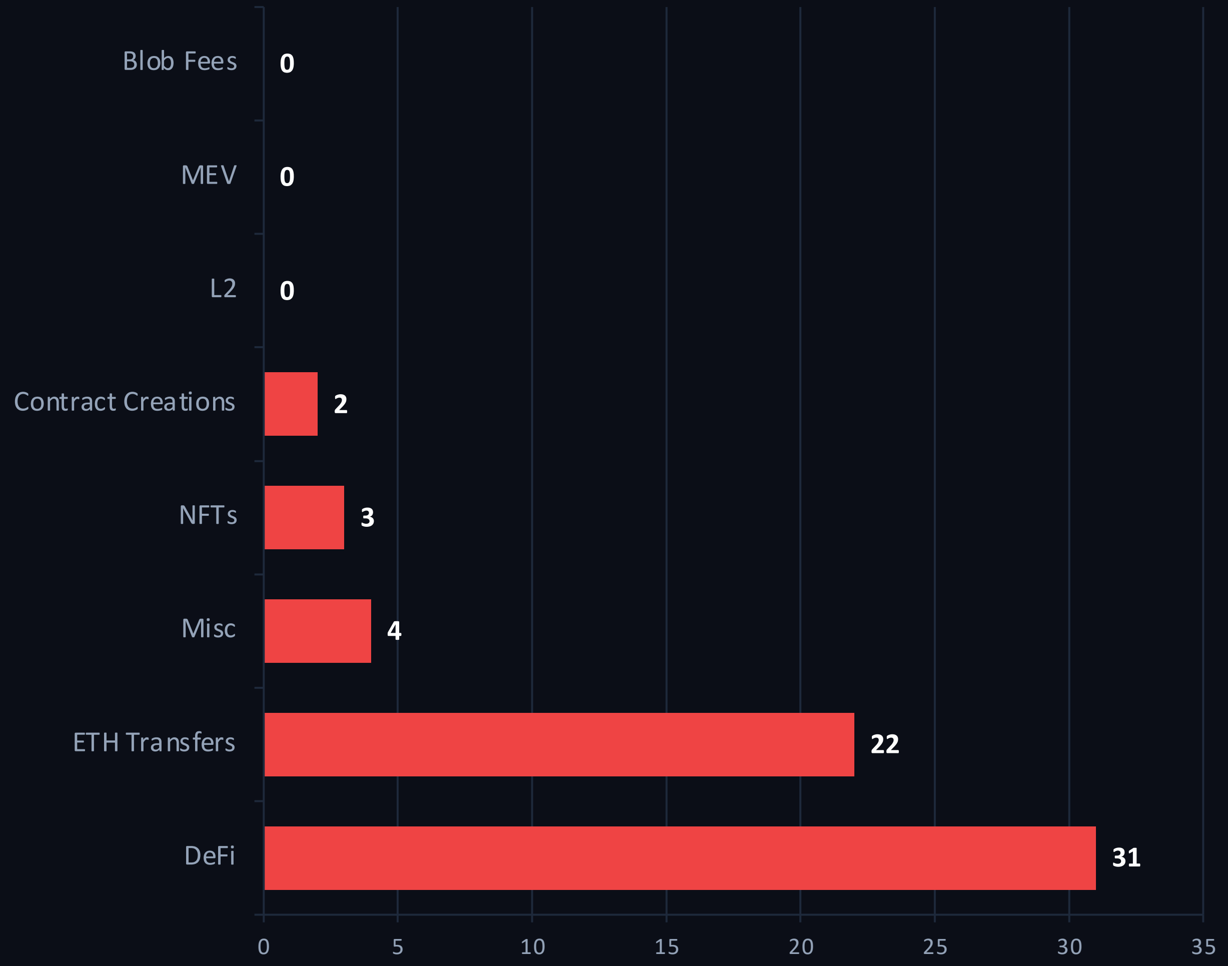
Temporary Inflation

Current +0.83%/yr growth rate is structurally temporary — any sustained increase in on-chain activity will compress supply growth and potentially flip ETH deflationary.

Source: ultrasound.money

Burn Categories & Leaderboard (7-Day)

DeFi and ETH transfers account for ~85% of weekly fee burn



Top Burn Contributors (7d)

1. ETH Transfers
   21.74 ETH
2. Tether (USDT)
   13.55 ETH
3. Other DeFi contracts
   ~17 ETH

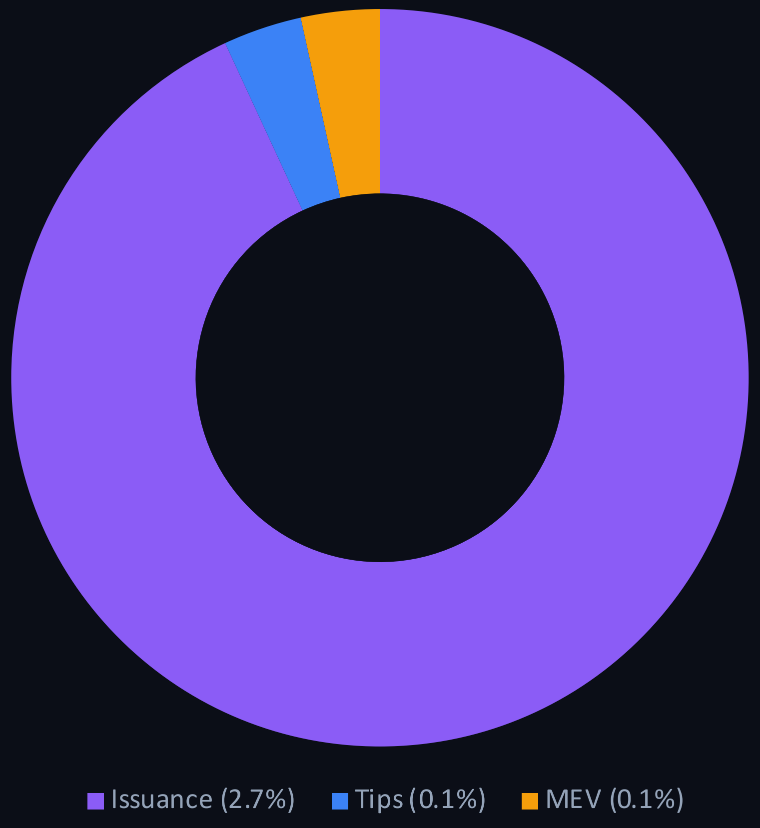
Block-Level Burn Activity

- Recent blocks: 0.00–0.01 ETH burn per block
- 7-day peak: 0.07 ETH in a single block
- Total 7d burn: ~192 ETH

Source: ultrasound.money

Staking & Validator Economics

38.9M ETH staked (~32% of supply) — validators earn ~2.9% total APR



ETH Staked

38.9M ETH

% of Supply Staked

~32%

Total Validator APR

~2.9%

PoS Issuance

~2,800 ETH/day

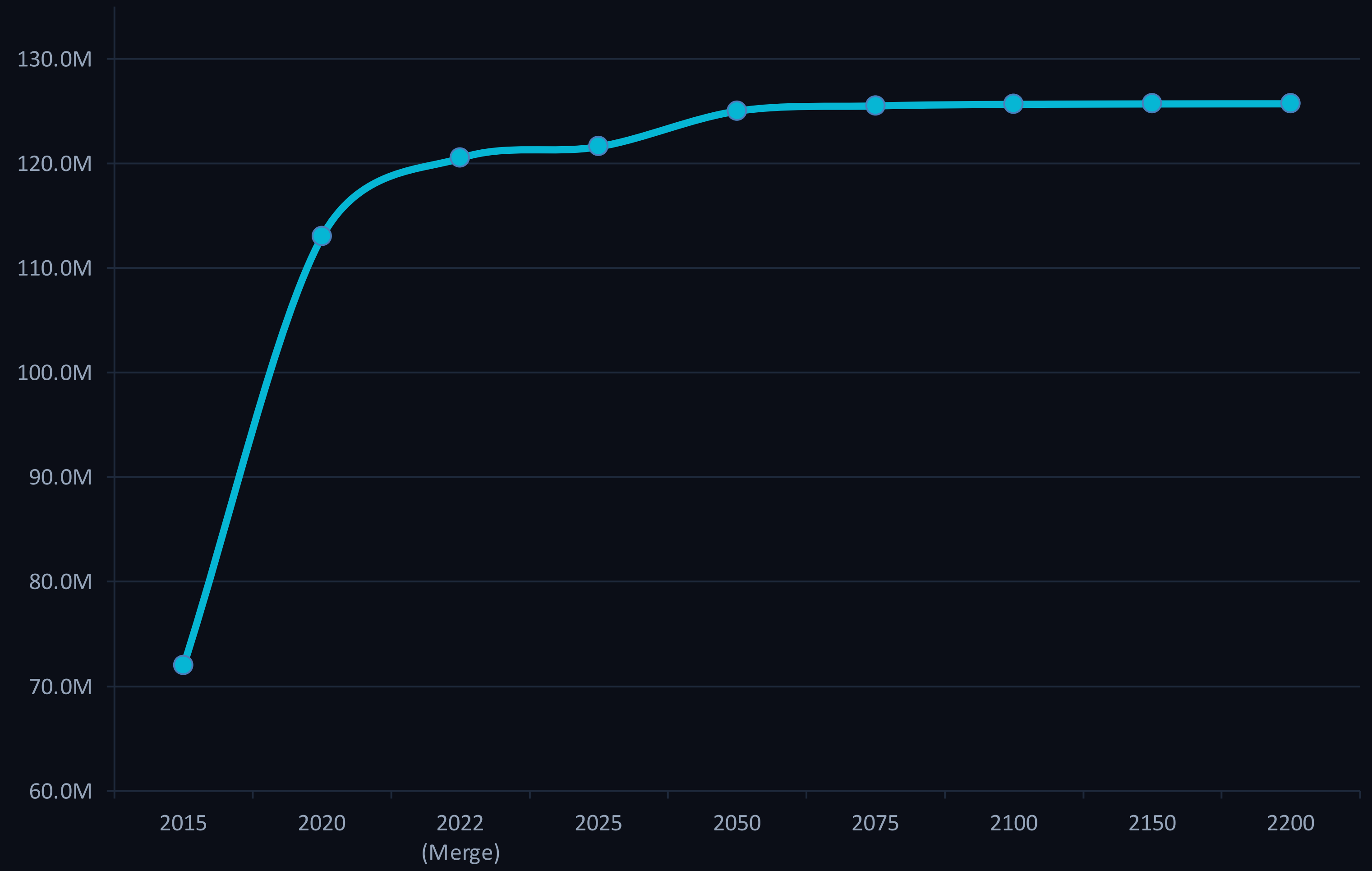
Scarcity Engine

- 9.1M ETH locked in staking contracts
- Average lock duration: 10.7 years

Source: ultrasound.money

200-Year Supply Projection

ETH supply converges toward 125.7M equilibrium — issuance and burn balance at ~1,037K ETH/year



Equilibrium Supply

125.7M ETH

Staked at Equilibrium

39M ETH

Base Gas Assumption

22 Gwei avg

Issuance-Burn Balance

~1,037K ETH/yr

PoS Issuance

~2,800 ETH/day

Fee Burn (at eq.)

~2,200 ETH/day

Eras: Genesis (5 ETH/block) → Byzantium (3) → Constantinople (2) → Phase 0 Staking → London Burn → The Merge (PoW removal)

Source: ultrasound.money | 200-year projection model

Flippening Progress & Total Value Secured

ETH at 18.7% of Bitcoin's market cap, securing $307.6B in total value

ETH Market Cap vs Bitcoin

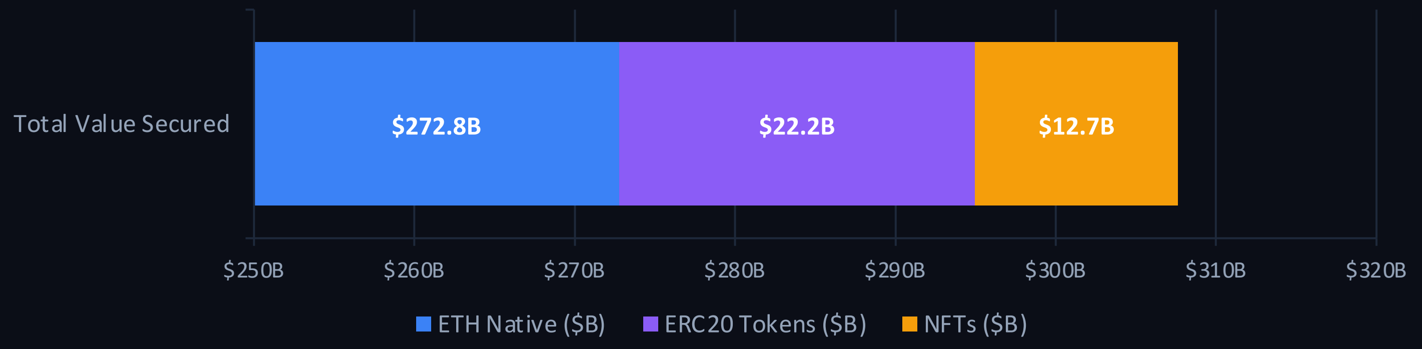
18.70%

ETH Market Cap vs USD

1.30%

ETH Market Cap vs Gold

0.89%



Top ERC20s by Value

- Dai: $4.41B
- Shiba Inu: $3.51B
- Cronos: $2.97B
- Tether Gold: $2.65B

Top NFT Collections by Value

- CryptoPunks: $2.13B
- BAYC: $0.68B
- ENS: $0.63B
- Pudgy Penguins: $0.51B

Source: ultrasound.money

Key Takeaways

Ultra sound money thesis intact — gas activity is the critical variable

1

Mildly Inflationary — For Now

ETH grows at +0.83%/yr due to historically low gas fees (avg 0.1 Gwei). Burns offset only ~1% of issuance (0.01x ratio). This is cyclical, not structural.

2

Burn Mechanism Works — Needs Activity

EIP-1559 fee burn is proven but requires sustained on-chain activity. DeFi and ETH transfers drive 85% of current burns. Recovery in gas to 22 Gwei would flip ETH deflationary.

3

Massive Supply Lock via Staking

38.9M ETH (32% of supply) staked at ~2.9% APR. Scarcity engine locks 9.1M ETH with avg 10.7-year duration — reducing effective circulating supply.

4

Structurally Sound Long-Term Equilibrium

200-year projection shows convergence to 125.7M ETH equilibrium with issuance and burn balancing at ~1,037K ETH/year. ETH's supply cap is asymptotic, not fixed — but credibly predictable.

5

Growing Monetary Premium

ETH secures $307.6B+ in total value and has reached 18.7% of Bitcoin's market cap. The ultra sound money narrative strengthens as on-chain activity recovers — gas is the signal to watch.

Source: ultrasound.money | Community: 6,000+ fam tracking these metrics